

and imposing penalties for carrying related activities. It had also submitted a draft bill called 'Banning of Cryptocurrency and Regulation of Official Digital Currency Bill, 2019'.

Since then, there has been little further action on the ground. A second report by the Department of Economic Affairs on cryptocurrencies has been on the backburner for some time now.

The finance ministry has, however, cautioned that crypto products and NFTs are unregulated and

cyber-security threats, and lack of consumer protection and awareness are some of the challenges it has underlined.

Crypto exchanges in India, however, underline that they are working on self-regulation led by industry body Bharat Web3 Association. Shetty of WazirX notes that there is some progress in regulatory clarity in terms of taxation, KYC and AML (anti-money laundering) through FIU registration. "There is work and progress, though slower

the designated regulator, it has suggested. The committee is also holding separate discussions on virtual digital assets and the way forward, and its report is expected in the winter session of Parliament.

Sources indicate that while its deliberations are underway, it may consider recommending strict curbs on these assets.

Globally, stablecoins are being used for activities like lending and trading as well as for payments and remittances. A Bank of America

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NISCHAL SHETTY
FOUNDER,
WAZIRX

"Compared to 2020-21, there has been a decline in volumes around crypto trading in spot markets in India because of the 1% TDS"



ASHISH SINGHAL
CO-FOUNDER,
COINSWITCH

"Developments across the US, the UAE, and the EU are helping create a more structured environment and supporting the next phase of growth"

can be highly risky. "There may be no regulatory recourse for any loss from such transactions," it has warned. FIU-Ind has now issued notices for non-compliance to 15 VDA service providers and has also directed them to take down the application and URLs for public access, which have been found to be operating illegally.

The OECD Asia Capital Markets Report 2026 highlights the concerns over cryptocurrencies noting that the "growing interconnectedness between crypto-asset and traditional financial markets creates risk of contagion". Use of crypto assets for illicit finance,

than in other countries," he says.

The Parliamentary Standing Committee on Finance has also been looking into the issue of virtual digital assets. In its report on the Securities Market Code, 2025, it has noted that exclusion of these assets from the definition of securities creates a regulatory grey area and has recommended that the government comprehensively examine the need for an appropriate statutory and regulatory framework.

In the interim, the government may consider introducing a mechanism through recognised Self-Regulatory Organisations operating under the oversight of

Institute report from October 2025 noted that from cross-border to retail transactions, stablecoins can be a cheaper and more efficient option when compared to other methods. "However, they also introduce challenges," it had said.

With new use cases emerging and adoption continuing, cryptocurrencies have stood the ground so far, though the initial excitement may have ebbed. A clear regulatory framework—in whatever form and stance—would help protect retail investors and give clarity to the industry. **BT**

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